NORTH AMERICA FOODS · TRANSFORMATION

NA Bouillon — Current-State Pack

Network & Business Baseline · Week 1

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Scope: Current-state network (Scope A) + business baseline (Scope B)
Source: `Copy of RT and UFS Bouillon 4.13.26.xlsx` · 57 SKUs · 5.25M cases · 43,235 t · 2025 FY
Date: 2026-04-15

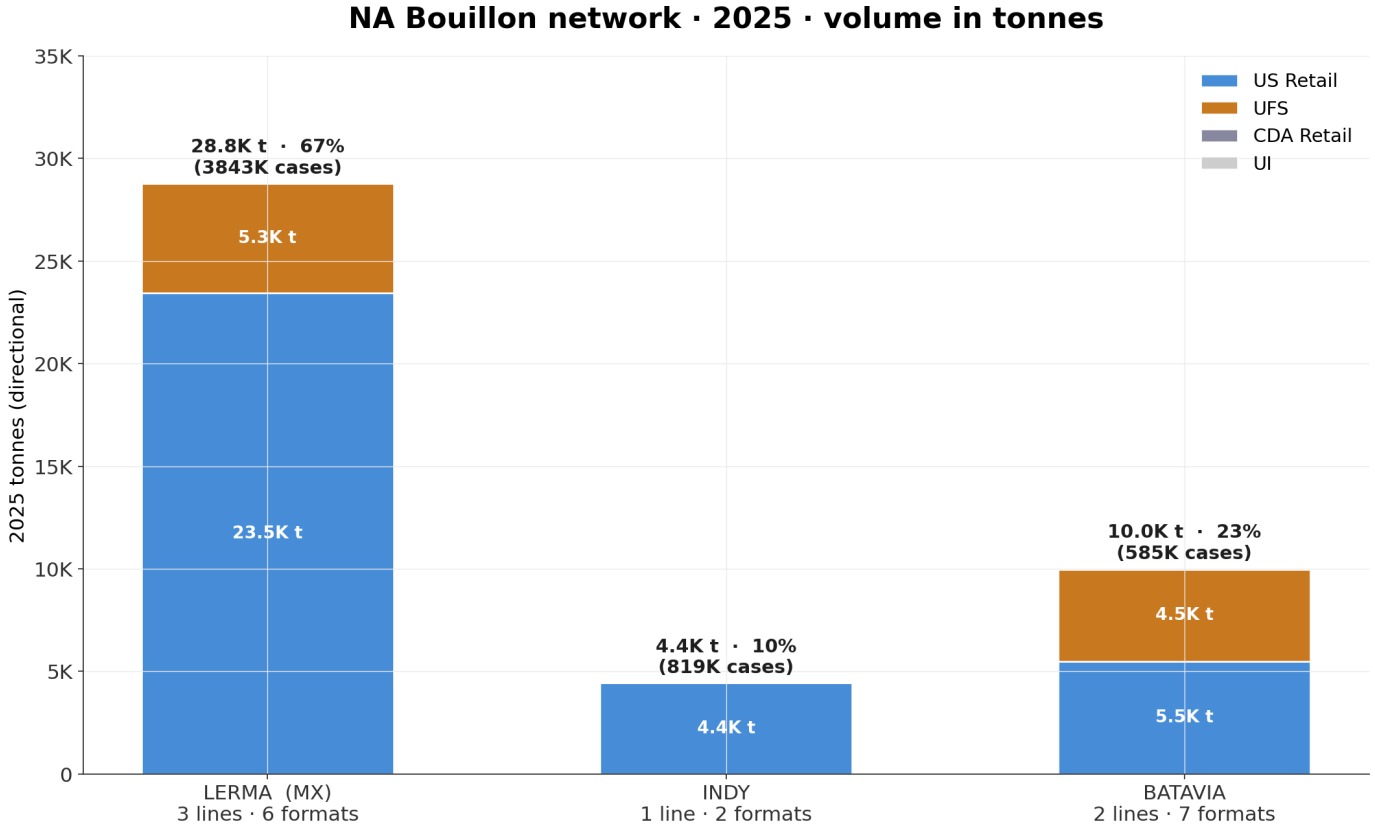
Executive summary

> The real project question is not "**should we consolidate at Indy.**" The Lerma → Indy shift is already in motion for the formats Indy can run today. The question is where the line sits between **formats Indy can absorb with headroom (8,044 t / 1.48M cases)** and **formats Indy would have to build new capability for (30,746 t / 2.94M cases).** Those two scenarios have fundamentally different cost, capex and risk profiles — and framing them that way is how leadership gets a decision it can act on.

The five facts that carry the pack

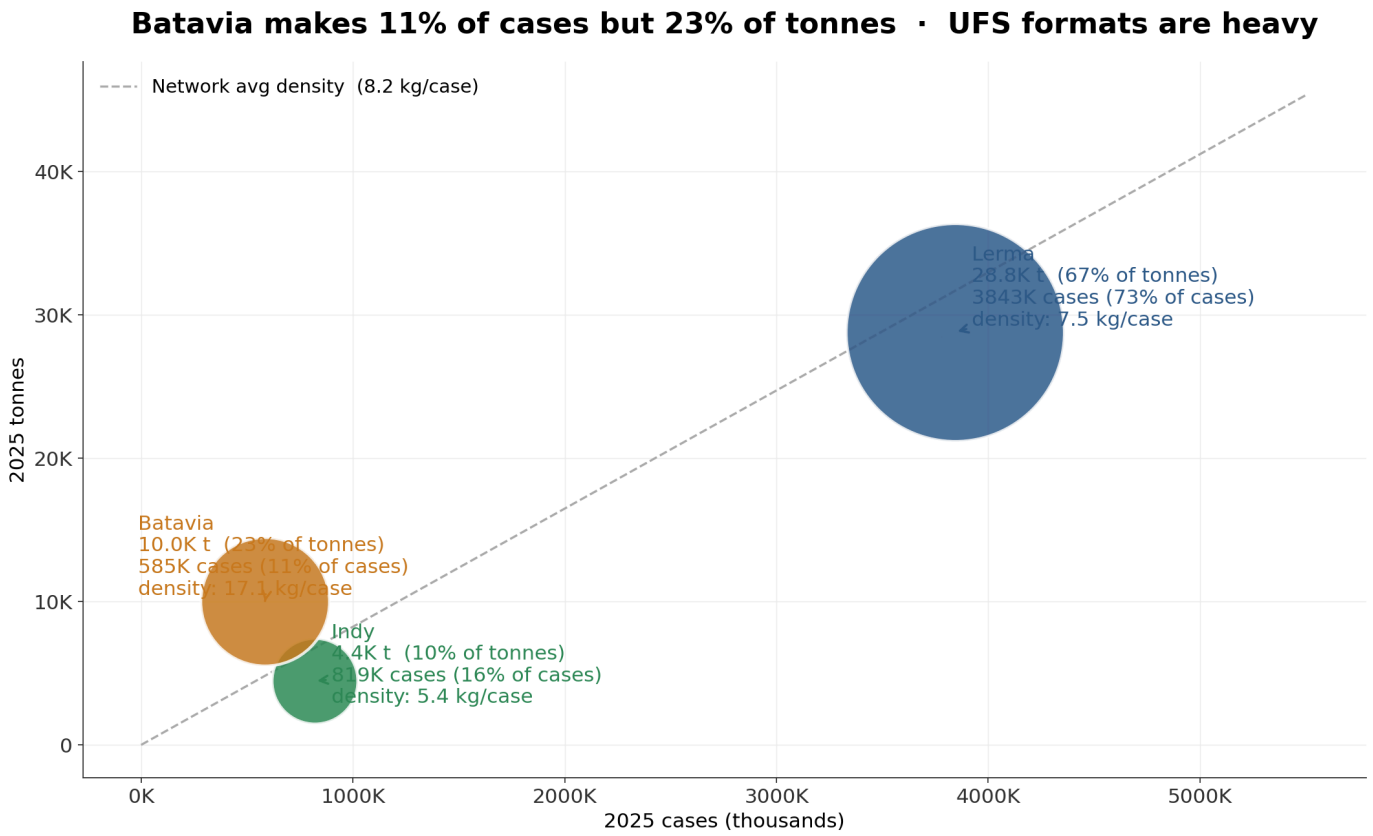
1. **43,235 t · 5.25M cases across 3 sites.** Tonnes: Lerma 67% (28,783 t) · Batavia 23% (10,007 t) · Indy 10% (4,445 t). Cases: Lerma 73% · Indy 16% · Batavia 11%. **Batavia = 11% cases but 23% tonnes** — UFS formats are heavy.
2. **44% of network cases are in multi-site SKUs.** 100% of Indy's volume is shared with Lerma. **Batavia has zero overlap with anyone.** Lerma is 38.5% shared / 61.5% unique.
3. **The Lerma → Indy shift is already executing.** 6 SKUs mid-handoff in 2025 — but the flagship (7,600 t/yr) is **only 15% migrated.**
4. **Indy today is a single-line, two-format, Retail-only factory.** Line 15 · 2 lb + 15.9 oz · 100% Retail · **zero UFS** · 4,445 t total.
5. **Scenario 2 is a capability build, not a volume transfer.** 30,746 t sit in formats or technologies Indy has never run.

The one chart — volume in tonnes



> Case share (73/16/11) is not tonnage share (67/10/23). **Batavia carries 23% of tonnes on 11% of cases** — its UFS formats average 17 kg/case vs Indy's 5.4 kg/case. Lerma is the scale site. Indy is a Lerma-mirror in execution. Batavia is a technology monopoly.

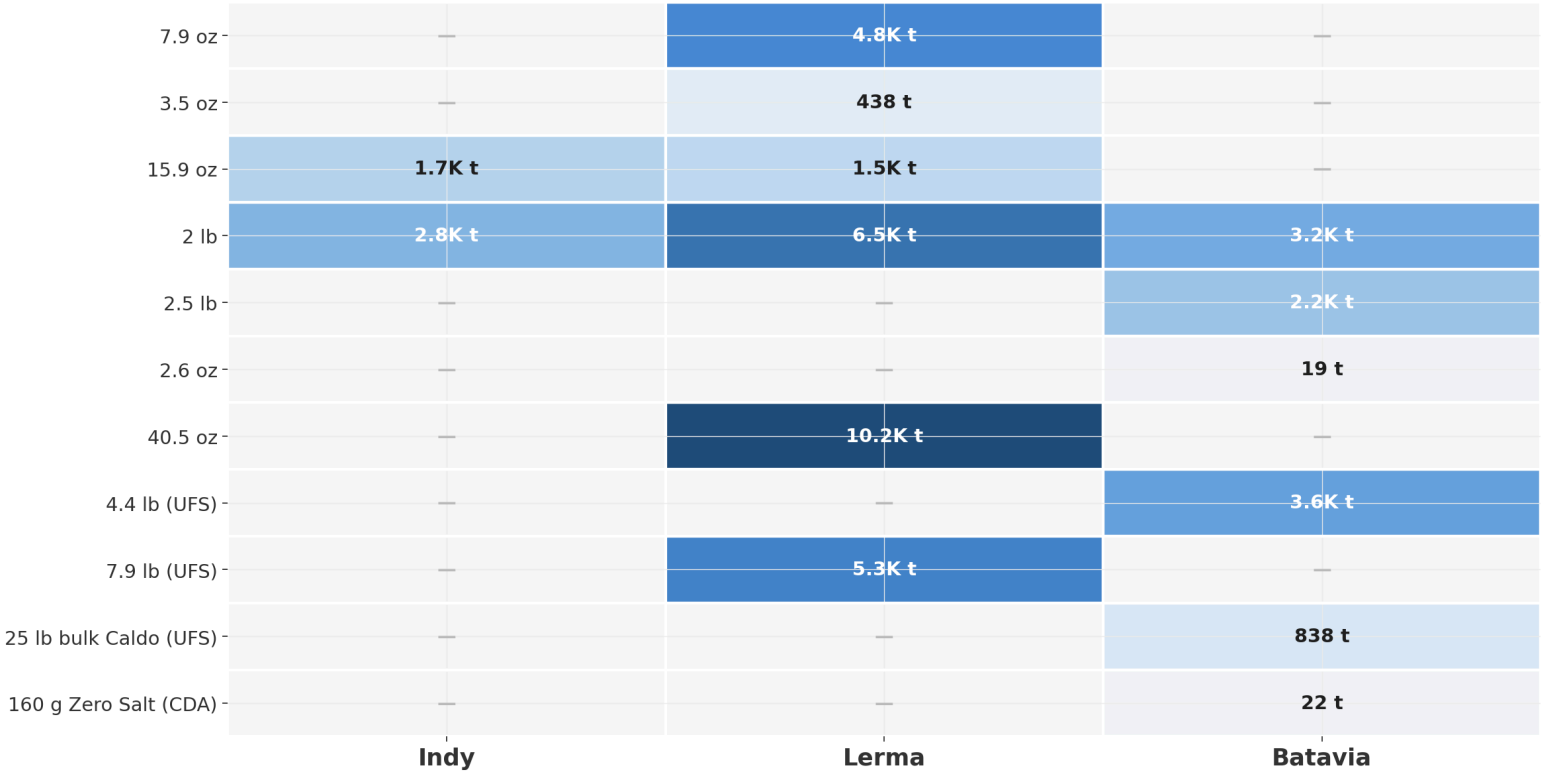
Batavia punches 2× its case weight in tonnes



> Batavia's 4.4 lb and 25 lb UFS formats average **17 kg/case** vs Indy's 5.4 kg/case. Any consolidation plan that uses cases as the primary unit will understate the Batavia capability build by ~2×. **Tonnes is the right unit for production planning.**

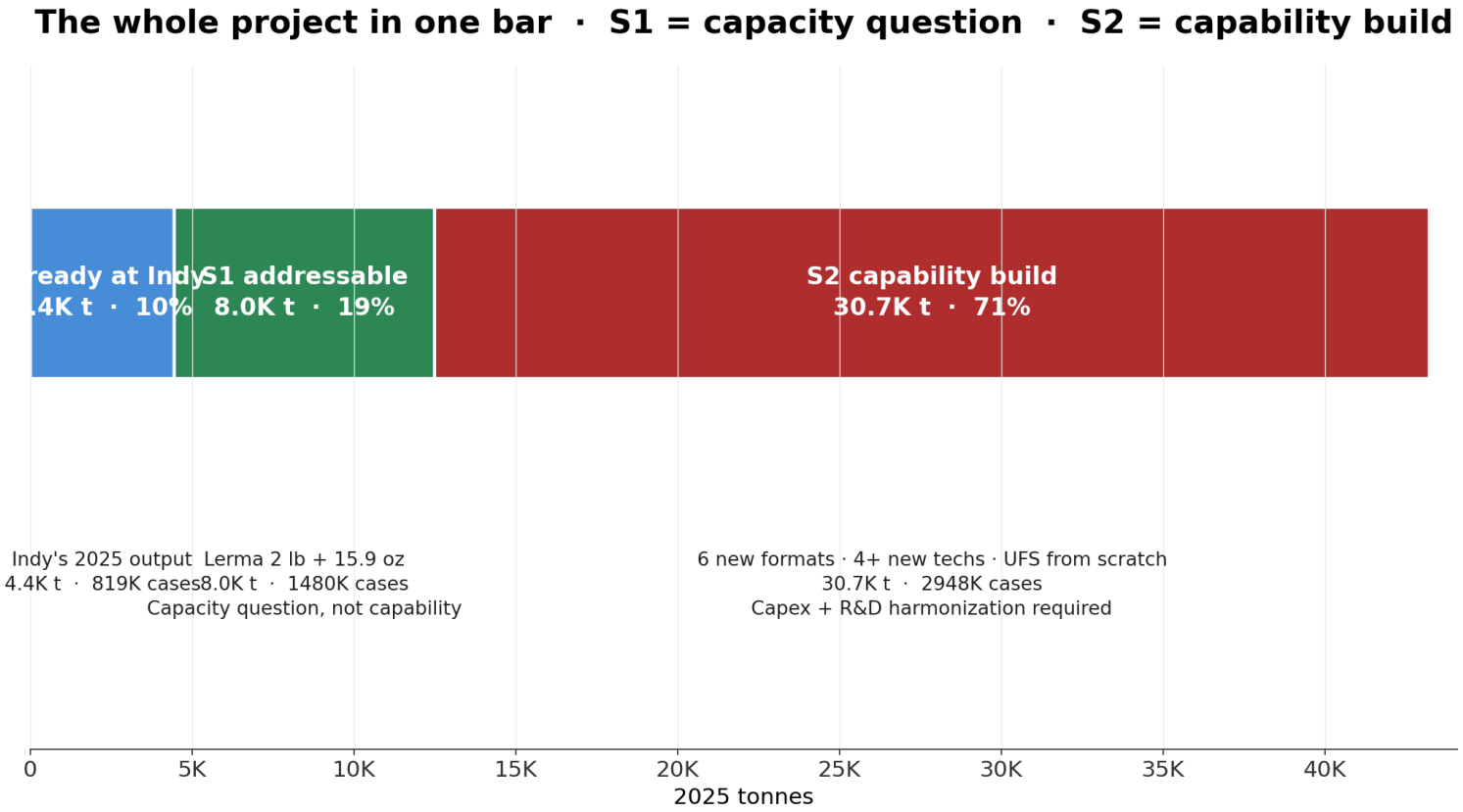
Format × site complexity — the capability gap

Indy runs 2 of 11 formats · values in tonnes · every other format is somewhere else



> Indy runs 2 of 11 formats in the network. Every other format — 7.9 oz (~4,800 t), 4.4 lb Caldo UFS (~3,600 t), 7.9 lb UFS (~5,300 t), 3.5 oz, 25 lb Caldo, MixMod, Natural — runs somewhere Indy does not. Scenario 2 is therefore a capability build, not a line transfer.

The whole project in one bar



Scenario 1 — Maximize Indy

8,044 t · 1.48M cases

Capacity / throughput question. Line-15 headroom + second-line decision. Low–medium capex. R&D dependency: low. Near-term.

Scenario 2 — Full Consolidation

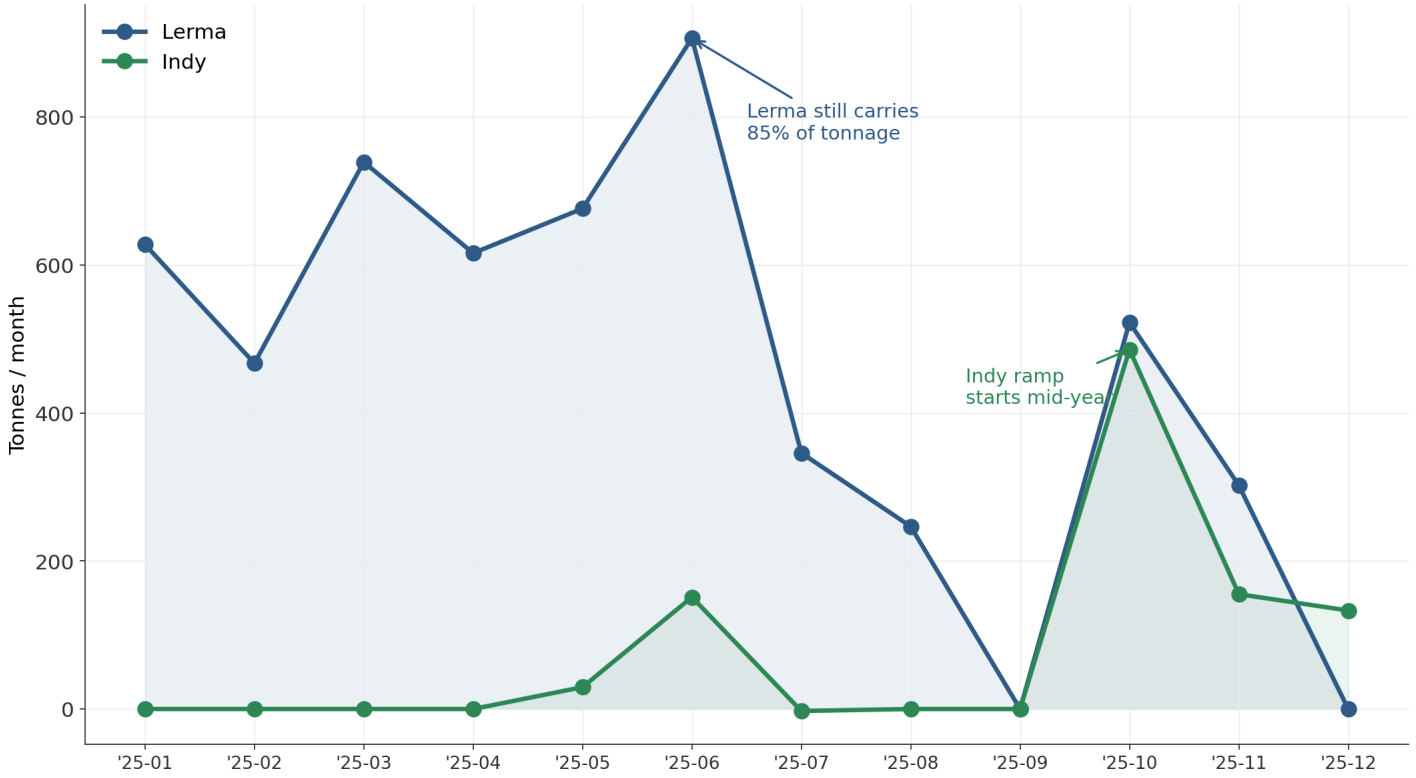
30,746 t · 2.94M cases

Capability-build + harmonization program. 6 new formats · 4+ new technologies · UFS footprint from scratch. High capex. **R&D harmonization is the critical path.** 3-year horizon.

> S1 and S2 are **different kinds of projects**, not "low case / high case" of the same plan. They should not share a single set of assumptions.

The Lerma → Indy shift is already running

Flagship SKU in-flight · KNR MEX BOUIL CHK 6 2 LB · 6.4K t/yr · Lerma→Indy transfer live



> The **biggest single SKU in the network** (1.18M cases/yr) is the **least migrated.** Easy wins are nearly done (top SKU 96% moved); the bulk of Scenario 1's upside sits in one barely-started SKU. Week 2 separates "already booked" from "net new."

Indy — advantaged and constrained *(unhedged read)*

Advantaged

- **Domestic US logistics.** 818K cases served without crossing a border vs Lerma's 3.47M cross-border flow.
- **Already running the 2 biggest Retail formats.** 2 lb + 15.9 oz = 44% of network Retail demand.
- **Proven transfer execution.** Six Lerma ↔️ Indy SKUs mid-handoff in 2025; one at 96%.
- **Clean single channel.** 100% US Retail. No split-channel, no UFS overhead, no CDA regulatory scope.

Constrained

- **Single line.** One physical line ("15") carries 100% of Indy's output — no internal redundancy.
- **Two formats only.** 2 lb + 15.9 oz. Everything else = new pack capability.
- **Zero UFS.** Not a ramp issue — **never run UFS**. The 901K-case NA UFS network cannot move here without a build.
- **100% Lerma product dependence.** Zero unique SKUs · zero independent R&D footprint.
- **Scale is small.** 16% of cases · 10% of tonnes.

> **Indy is a strong foundation for Scenario 1 if line-15 headroom exists. It is a weak foundation for Scenario 2 — not a harder version of S1, a different kind of project.**

What Week 2 will answer

> **Q1.** How much of the 1.48M Lerma-addressable pool can Indy absorb without new line investment — and what does the second-line decision look like if the answer is "not much more"?
>
> **Q2.** For the 2.94M cases Indy cannot run today, which subset is worth building capability for at Indy, on what 3-year glidepath, with what harmonization dependency?

	Scenario 1 — Maximize Indy	Scenario 2 — Full Consolidation
Shape	Capacity / throughput question	Capability-build + harmonization program
Scope	1.48M cases · 2 lb + 15.9 oz	2.94M cases · 6 new formats · 4+ new techs · UFS from scratch
Gate	Line-15 headroom + second-line decision	R&D harmonization roadmap + capex envelope
Capex	Low–medium	High
R&D dependency	Low	**High — critical path**
Horizon	Near-term	3-year glidepath

Week 2 deliverables: 3-year glidepath per scenario · comparative matrix · draft recommendation framing (recommendation itself lands Week 3).

What Week 2 needs from you *(data asks)*

P0 — blocks scenario quantification

- **D1** Site-level conversion cost × sub-category
- **D2** Directional gross margin × site × channel
- **D3** Indy line 15 capacity + 2025 utilization
- **D7** R&D harmonization roadmap status per SKU family
- **D8** Formal status of Lerma → Indy in-flight transfers *(tracked program vs tactical)*

P1 — Week-2 gates

- **D4** Lerma Mateer 1 / 2 / 3 capacity
- **D5** Batavia line 13 + line 0 capacity
- **D6** Named co-manufacturers / overflow / resiliency partners
- **D9** RM sourcing points by site
- **D10** US-MX cross-border logistics benchmark
- **D11** Existing Indy capex / shift-expansion study

> **Single highest-leverage question:** D8 — is the 2025 Lerma → Indy shift a tracked program or tactical? The answer reframes both the Scope B baseline and the Scenario 1 addressable pool.

Appendix — data quality & reconciliation

Source

- `Copy of RT and UFS Bouillon 4.13.26.xlsx` · single sheet · header row 3 · 57 SKU rows · monthly columns decoded from Excel date serials
- Grand total reconciles: **5,246,057 cases** (monthly sum = `Total 25` column)

Site × channel reconciliation *(used throughout)*

Cases:

Site	US Retail	UFS	CDA Retail	UI	Total
Lerma	3,469,125	371,526	—	2,113	**3,842,764**
Indy	818,078	—	—	459	**818,537**
Batavia	42,899	530,312	11,545	—	**584,756**
Total	**4,330,103**	**901,837**	**11,545**	**2,572**	**5,246,057**

Tonnes (directional, Cases × Tonnes/CS):

Site	US Retail	UFS	CDA Retail	UI	Total
Lerma	23,451 t	5,325 t	—	7 t	**28,783 t**
Indy	4,443 t	—	—	2 t	**4,445 t**
Batavia	5,501 t	4,484 t	22 t	—	**10,007 t**
Total	**33,395 t**	**9,809 t**	**22 t**	**9 t**	**43,235 t**

What the workbook does not contain *(named, not hidden)*

Unit conversion cost · gross margin · line capacity / utilization · named co-mans · R&D harmonization status · cross-border logistics cost.

→ Tracked as D1–D12 open data requests. Week 1 ships with the gaps named. Week 2 cannot start scenario